

TUTORIAL 10

Trading Framework Series for Students

Entry Planning: VWAP, Pullbacks, and Clean Closes

Turning chart context into a defined entry, stop, target, and invalidation

Purpose

Students learn to separate a trade idea from an entry. The lesson emphasizes higher-timeframe clean closes, higher lows, VWAP/AVWAP, moving-average pullbacks, structure retests, and the rule that late entries require recalculated risk.

Prepared for student use. Built from the May 13, 2026 lesson transcript and supplemented with external references verified May 15, 2026.

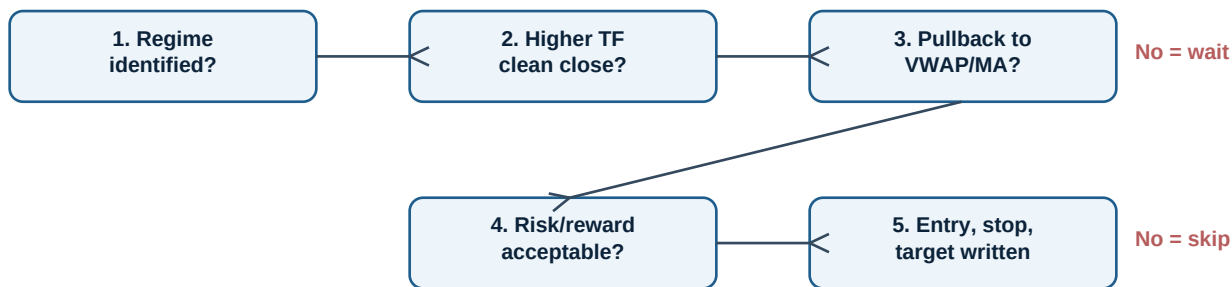
This tutorial is for education and process-building. It is not a recommendation to buy, sell, short, use margin, or trade any specific security.

At a glance

Session anchor

The lesson separated the idea from the entry: wait for higher lows and a clean higher-timeframe close, then consider entry near VWAP, the 9 SMA, the 21, or structure. It also warned that once price moves, the goal post has moved and risk is higher. Transcript timestamps: 2:08:26-2:10:46, 2:19:12-2:20:51, and 2:22:41-2:26:32.

Entry planning turns a trade idea into a controlled execution plan



Never convert a trade idea into an entry until location, confirmation, invalidation, and time of day agree.

Concept	Meaning	Student question
Trade idea	A possible setup based on regime and structure.	Is there a reason to watch?
Confirmation	Higher-timeframe clean close, higher lows, and VWAP/structure behavior.	Is the idea accepted by price?
Entry	Exact location where risk can be defined.	Where do I click and where am I wrong?
Invalidation	The condition that proves the trade thesis wrong.	Where do I exit without debate?

Clean close vs dirty close

A clean close means price closes clearly above or below the level being tested. A dirty close means price is inside, touching, or only barely beyond the level. In the lesson, a dirty close above VWAP meant the student should keep watching rather than force the entry.

Close type	What it looks like	Action
Clean bullish close	Body closes clearly above VWAP/structure; candle is not barely touching.	Look for retest, pullback, or continuation entry.
Dirty close	Candle closes at the line, inside the zone, or with immediate rejection.	Wait. No beginner entry yet.
Failed close	Price breaks the level but closes back inside the range.	Avoid or exit. Treat as fakeout risk.

Higher timeframe rule

Use the 30-minute and 15-minute charts for confirmation. Use the 5-minute chart to refine entry. Do not let a single 5-minute candle override a higher-timeframe failure.

Entry locations from the lesson

The lesson discussed multiple entry locations. The correct one depends on whether the student is scalping, trading a micro-trend, or waiting for confirmation.

Entry location	When it fits	Risk notes
At VWAP	Price pulls back into VWAP while the regime remains bullish/bearish.	Needs tight invalidation; beware VWAP chop.
Slightly above/below VWAP	Student wants price to prove it is respecting VWAP.	Better than chasing far away from VWAP.
9 SMA touch	Fast micro-trend pullback or quick scalp.	Fastest and riskiest; tight stop required.
VWAP to 21 zone	Trend pullback that gives better price than chasing.	Good confluence if no 9/21 bearish cross occurs.
Structure retest	Prior breakout area holds as support/resistance.	Often easier for beginners because invalidation is clear.

Goal post warning

If price has already moved far from the original entry, the trade is not the same trade. Recalculate risk/reward or skip it.

Execution workflow

- 1. Name the strategy: scalp, breakout/momentum, trend following, or buy-and-hold.
- 2. Mark structure and the relevant VWAP/AVWAP levels.
- 3. Check 200, 50, 21, and 9 moving averages for bias, pullback zones, and micro momentum.
- 4. Confirm higher-timeframe close. If the 30-minute close is dirty, wait for the 15 or next 30.
- 5. Choose entry type: aggressive, confirmation, or no trade.
- 6. Write stop and target before entry. If the stop is too wide, reduce size or skip.
- 7. After entry, manage the trade according to the plan. Do not move the stop because of hope.

Plan type	Student use	Example rule
Aggressive	Experienced or very small size only.	Enter at VWAP touch with tight invalidation.
Confirmation	Preferred beginner approach.	Wait for clean close and retest.
No trade	When the entry is gone or the level is dirty.	Journal why and move to next chart.

Student worksheet

1. Is this only a trade idea, or has the chart confirmed it?

2. What is the exact entry location: VWAP, 9, 21, 50, or structure?

3. What is the higher-timeframe confirmation?

4. Where is my stop and what specifically invalidates the trade?

5. Is the original entry still available, or did the goal post move?

Sources and student reading

[TradingView - Volume Weighted Average Price \(VWAP\)](#)

Reference definition for VWAP and its intraday directional context.

[StockCharts ChartSchool - Moving Average Trading Strategies](#)

Reference reading for crossovers, dynamic support/resistance, and moving averages as trade-management tools.

[SEC - Day Trading: Your Dollars at Risk](#)

Risk background: day trading can be highly risky, stressful, and expensive. Use this as a student risk reading before live trading.

[FINRA Regulatory Notice 26-10 - Intraday Margin Standards](#)

Current regulatory context: new intraday margin standards have an effective date of June 4, 2026 with a phase-in period ending October 20, 2027.

How to use sources

Read sources for definitions and risk context, then apply the classroom worksheet. Do not use any article or indicator as an automatic trade signal.